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Sunday Start | What's Next in Global Macro

Fighting Tariff Fatigue

Another week, another tariff deadline. This time it's Friday, August 1, the date that tariffs would increase on key US trading partners such as Europe, Canada, and Mexico unless fresh trade deals are announced or deadlines are extended. Clients we talk to are certainly jaded when it comes to the tariff topic, and we sympathize. Deadlines have come and gone, tariffs have climbed (although not to the highest levels threatened), but economic data and markets have not rolled over. So, it's tempting to move on from the idea that US trade policy will move markets.

Resist that temptation. The evolution of tariffs can still create pressure and opportunity. Three reasons why: (1) We're likely not yet seeing the full impact of tariffs on economic data. (2) This week's tariff deliberations may matter more to the economic outlook – the EU, Canada, and Mexico represent nearly half of all US goods imports. Consider that a five-percentage-point hike in tariffs on these trading partners could double the negative impact on US GDP compared to similar measures against smaller economies. (3) Some market effects of tariffs aren't tied to macroeconomic impacts alone. This might be particularly true in US equities, where there's important nuance across sectors. In sum, while it's certainly possible that markets have priced in tariff talk and moved on, there's good reason to stay focused on US trade policy in investment strategy.

Let's start with our US economic scenarios. We still believe the most likely outcome is slow growth and firm inflation: Not a recession, but a backdrop where the adverse effects of trade and immigration controls on growth outweigh the boost from deregulation and fiscal largesse. We assign a 40% likelihood to this scenario. Second, while we acknowledge room for optimism, we think it would require some de-escalation on restrictive trade and immigration policies or an animal spirits-induced bump from fiscal policy. How likely is this? We pencil in a 20% probability. With some evidence of tailwinds, we cannot fully discount them. This leaves us with a 40% likelihood of a trade-induced slowdown. Given the current effective tariff rate, ratcheting up tariffs on important trading partners further in August – several of which have responded to past trade threats with policies of their own – could easily tip the scales toward a mild recession. In sum, we see outcomes for the US economy skewing toward a slowdown, but with more clarity on the fiscal situation and deficits now front-loaded, the risk of a substantial recession is easing. This aligns with our key views across asset classes, though some markets will be more sensitive than others to differences across these outcomes.

For fixed income, we focus on rates. A tariff-induced slowdown should trigger a rally in Treasuries as a dovish Fed turn approaches. We expect that same dynamic will lead the US dollar to resume the weakening trend that began earlier this year, with help from [rising incentives](#) for overseas investors to hedge their dollar over-exposure.

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Equities, too, face a nuanced landscape. Our US equity strategy team [posits](#) that slower growth won't interrupt the S&P's rally, crediting such tailwinds as earnings growth driven by a weaker dollar and greater near-term cash flow in key sectors from revived tax breaks. But trade policy sensitivities matter for sectors. Industrials and capital goods firms, for instance, have pricing power and stand to benefit from domestic investment tailwinds, even amid rising costs. Conversely, consumer goods and retail sectors are more exposed given higher imported input costs and limited pricing power, warranting a cautious stance.

Bottom line...fight the fatigue on tariffs. They're still too important for markets to ignore.

Enjoy your Sunday.

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What I'm Reading This Week

[Global Technology: Supply Chain Reorientation](#)

[Global Fixed Income, Tech Diffusion & GenAI: Bridging a \\$1.5tr Data Center Financing Gap](#)

[US Public Policy: Fiscal Over the Finish Line](#)

[South Korea: Multipolar World Multipliers](#)

What We Are Watching This Week

TUESDAY, JULY 29

US Trade Deficit in Goods: We expect no change in the deficit in June. Gold exports appear to have slowed, offsetting reacceleration in other exports. We forecast little change in imports.

US JOLTS: Job openings increased in April and May, reversing some earlier declines. For the private sector, May openings were 1% above their year-earlier level. What looked like a downtrend has stalled. The vacancy rate (openings/unemployed), at 1.07, was at the same level as in 4Q, similarly signaling momentum through 2Q.

WEDNESDAY, JULY 30

Canada BoC Rate Decision: We expect the BoC to keep its policy rate unchanged at 2.75%.

US FOMC Rate Decision: We expect the Fed to stay on hold at its July meeting and make no change to balance sheet policies. In the press conference, we expect Chair Powell's message to be in line with a "wait-and-see" approach, emphasizing that monetary policy is "well positioned" to see how the economy evolves.

Euro Area GDP: We expect euro area GDP growth at 0.1%Q in 2Q25, after 0.6%Q in 1Q25, on the back of resilient industrial production.

US GDP: We expect real GDP to rise at a 2.1%Q annual rate in 2Q. Domestic demand continues to slow – we expect that final sales to domestic

purchasers to rise at a 1.2% pace following 1.5% in 1Q and 3.1% growth last year.

THURSDAY, JULY 31

Japan BoJ Rate Decision: We expect the BoJ to remain on hold. The focus is on whether there will be any changes in Governor Ueda's stance at his press conference and in the details of the Outlook Report, following the Japan-US tariff agreement that includes a reduction in automobile tariffs.

Japan Industrial Production: We forecast that June industrial production decreases by 0.6%M and increases by 1.7%Y.

Japan Retail Sales: We forecast that retail sales increase by 0.9%Y in June.

Japan New Housing Starts: We expect that new housing starts are 0.67 million SAAR in June.

Japan Consumer Confidence Index: We expect July's consumer confidence index to be 35.2.

Taiwan GDP: We expect a further jump in Taiwan's growth to 5.9%Y in 2Q25 from 5.5%Y in 1Q25, on the back of strong front-loading of exports and production activity. A marginal slowdown in consumption may pose a small drag yet largely offset by the strong acceleration in real exports.

Germany CPI: We foresee German HICP and CPI inflation to both be stable at 2.0%Y in July.

Euro Area Unemployment Rate: We expect the euro area labor market to remain solid with a stable unemployment rate of 6.3% in May.

US Personal Income and Spending: We expect real consumer spending to rise by 0.3%M in June and nominal spending to rise by 0.6%M. We expect nominal personal income to rise by 0.2%M in June. Labor compensation grows similarly, up 0.25%M.

US PCE Inflation: We forecast core PCE inflation for June at 0.29%M. Headline PCE prices probably rise 0.31%M and 2.53%Y.

US Employment Cost Index: The 0.9%Q rise we forecast in the ECI would leave the year-on-year pace at 3.6%.

China Manufacturing PMI: We expect NBS manufacturing PMI to slip 30bp to 49.4 in July.

South Africa SARB Rate Decision: We expect a 25bp cut as the balance of risks to this meeting skews towards a further moderation in the policy rate.

FRIDAY, AUGUST 1

US ISM Manufacturing Index: We forecast the manufacturing ISM at 49.5 in July, a slight increase from 49.0 in June.

Japan Unemployment Rate & New Job Offers/Application Ratio: We expect the unemployment rate to be at 2.5% in June and new job offers/application ratio to be at 1.25 in June.

Euro Area HICP: We expect euro area HICP inflation to remain stable at 2.0%Y in July, with core also unchanged at 2.3%Y.

US Employment Report: We forecast a 100k rise in payrolls. We expect the

unemployment rate to round up a tenth to 4.2%.

US Motor Vehicle Sales: Initial surveys suggest a strong start to 3Q: a rise to a 16.1 million unit annual rate in sales, above June's 15.3 million and last year's 15.8 million.

US Construction Spending: Our -0.4%M forecast is led downward by an almost 3%M decline in single-family housing construction.

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(as of June 30, 2025)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1497	40%	372	45%	25%	702	41%
Equal-weight/Hold	1632	44%	380	46%	23%	776	45%
Not-Rated/Hold	4	0%	0	0%	0%	2	0%
Underweight/Sell	593	16%	79	10%	13%	233	14%
Total	3,726		831			1713	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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